

MARKET REGIME PLAYBOOK

Options, Stocks & Futures Strategies and Technical Framework by Regime

1. Early Downtrend / Distribution

Lower highs forming, breadth deteriorating while price still looks okay, volume divergence, topping patterns.

TECHNICAL INDICATORS & SIGNPOSTS

- **Price Action:** Double tops, head & shoulders, or lower swing highs on daily charts.
- **Moving Averages (MAs):** Price breaking below 20-day and 50-day EMAs; 50-day flattening out.
- **Momentum (RSI/MACD):** Bearish divergence (price makes higher highs while RSI/MACD make lower highs). RSI struggling to break above 60.
- **Volume:** Above-average volume on down days (distribution), weak volume on up days.

Options Strategies

Bear Put Debit Spread

DESCRIPTION: Buy higher-strike put, sell lower-strike put — defined-risk bearish bet.

DOWNSIDE: Max loss = premium paid; theta decay if wrong on timing.

RISK MANAGEMENT: Size 1–2% of capital; exit at invalidation level (prior swing high).

Protective Collar on Existing Longs

DESCRIPTION: Buy put + sell call against stock you hold to cap downside while distribution plays out.

DOWNSIDE: Caps upside potential.

RISK MANAGEMENT: Roll monthly; widen collar if IV is cheap.

Bear Call Credit Spread

DESCRIPTION: Sell OTM call, buy further OTM call.

DOWNSIDE: Capped profit; assignment risk near expiry.

RISK MANAGEMENT: Close at 50% max profit; hard stop if short strike breached.

Long Puts (Near-term)

DESCRIPTION: Direct bet on breakdown.

DOWNSIDE: Full premium loss if range holds; IV can be underpriced early in a top.

RISK MANAGEMENT: Buy before IV expands, not after.

Stocks & Futures

STOCKS PLAYBOOK:

- Trim/reduce beta, rotate into staples/utilities/healthcare.
- Short high-beta names breaking down on volume below key moving averages.
- Tighten trailing stops on existing longs.

STOCK RISKS: Distribution phases are choppy, not clean — short squeezes are common. Single-name shorting carries unlimited loss risk + borrow cost. Prefer index/ETF puts.

FUTURES PLAYBOOK:

- Short index futures (ES/NQ) as tactical hedge or directional short.
- Long VIX futures / VX calls as a tail hedge.

FUTURES RISKS: Leverage magnifies losses on a distribution-phase bounce. Treat as hedge first, alpha second; reduce size vs. a clean trend.

Best of Regime

Bear put spreads (options) · reduce beta + rotate defensive (stocks) · long VIX / short index as hedge (futures)

2. Range-Bound / Consolidation

Price oscillating between defined support/resistance, low-to-moderate realized vol, no clear trend.

TECHNICAL INDICATORS & SIGNPOSTS

- **Trend (ADX):** ADX dropping below 20-25, signaling lack of directional trend.
- **Volatility (Bollinger Bands):** Bands contracting (Bollinger Squeeze), indicating low historical volatility.
- **Momentum (RSI):** RSI oscillating sideways, typically bouncing safely between 40 and 60.
- **Price Action:** Clean tests and rejections of horizontal support and resistance levels.

Options Strategies

Iron Condor

DESCRIPTION: Sell OTM put spread + OTM call spread.

DOWNSIDE: Loss if price breaks either wing; gamma risk near expiry.

RISK MANAGEMENT: Set wings at ATR-based range edges; exit at 50% max profit; avoid holding through earnings.

Short Strangle (Advanced)

DESCRIPTION: Sell OTM put + call, undefined risk.

DOWNSIDE: Unlimited loss potential on breakout.

RISK MANAGEMENT: Hard premium-based stop (e.g., 2x credit received); or convert to condor.

Double Calendar

DESCRIPTION: Sell near-term / buy longer-term at same strikes.

DOWNSIDE: Max loss if a large move happens immediately.

RISK MANAGEMENT: Center strikes at range midpoint.

The Wheel (CSP → Covered Call)

DESCRIPTION: Sell cash-secured puts, get assigned, sell covered calls.

DOWNSIDE: Obligated to buy if range breaks down; upside capped.

RISK MANAGEMENT: Strike selection outside recent range boundaries.

Stocks & Futures

STOCKS PLAYBOOK:

- Fade the range: buy near support, sell near resistance, tight stops just outside the range.
- Pair trading / mean reversion between correlated names.

STOCK RISKS: False breakouts, and ranges eventually break (often violently). Use ATR-based stops just beyond boundaries. Reduce size as the range narrows.

FUTURES PLAYBOOK:

- Range fade: sell near highs, buy near lows directly in the futures contract.
- Calendar/spread trades between contract months to isolate carry, avoiding outright directional risk.

FUTURES RISKS: Leveraged whipsaw losses if range resolves into a breakout. Cut size going into known catalysts.

Best of Regime

Iron condors (options) · range fade with tight stops (stocks) · calendar/spread trades (futures)

3. Established Bull Trend

Higher highs/higher lows, price above rising moving averages, broad participation.

TECHNICAL INDICATORS & SIGNPOSTS

- **Moving Averages (MAs):** Price > 20 EMA > 50 EMA > 200 SMA. All key MAs sloping upward.
- **Trend (ADX):** ADX > 25 and rising, confirming strong directional momentum.
- **Momentum (RSI):** RSI stays in bullish territory, frequently hitting 70+ (overbought is bullish in trends) and rarely dipping below 40-50 on pullbacks.
- **Breadth:** High percentage of stocks making new 52-week highs.

Options Strategies

Bull Call Debit Spread

DESCRIPTION: Buy lower-strike call, sell higher-strike call.

DOWNSIDE: Capped profit vs. outright call.

RISK MANAGEMENT: Size 1–3%; roll strikes up as trend extends.

Long Calls / LEAPS

DESCRIPTION: Direct upside participation, longer-dated reduces theta bite.

DOWNSIDE: Full premium loss on reversal; IV crush after strong rallies.

RISK MANAGEMENT: Convert to spread to offset IV/theta; take partial profits into strength.

Cash-Secured Puts

DESCRIPTION: Sell puts below support to collect premium or acquire stock cheaper.

DOWNSIDE: Assigned stock in a sharper pullback than expected.

RISK MANAGEMENT: Place strike below clear technical support levels.

Poor Man's Covered Call (Diagonal)

DESCRIPTION: Long deep ITM LEAPS call + short near-term OTM call.

DOWNSIDE: Early assignment risk on short leg; more complex to manage.

RISK MANAGEMENT: Actively manage and roll the short leg.

Stocks & Futures

STOCKS PLAYBOOK:

- Buy pullbacks to rising 20/50 EMA.
- Add to strength on confirmed breakouts (pyramiding).
- Favor relative-strength leaders within the trend.

STOCK RISKS: Trend reversals and deeper-than-expected pullbacks. Trailing stop below the rising MA; size by ATR.

FUTURES PLAYBOOK:

- Long futures with trailing stop, adding on new highs with reduced size (pyramiding).

FUTURES RISKS: Leverage implies large drawdowns on reversal; gap risk overnight. Use options collars to lock in gains.

Best of Regime

Bull call spreads / LEAPS (options) · buy-the-dip with trailing stop (stocks) · trend-following long (futures)

4. Quiet Uptrend

Low realized volatility, steady grind higher, shallow pullbacks, low VIX.

TECHNICAL INDICATORS & SIGNPOSTS

- **Volatility (VIX/HV):** VIX persistently low (often sub-15). Historical Volatility at multi-month lows.
- **Price Action:** Price hugs the upper Bollinger Band or 10-day EMA tightly with very narrow daily ranges.
- **Volume:** Tends to be lower than average but steady; lack of distribution volume.
- **Pullbacks:** Extremely shallow, often finding support at the 10-day or 20-day MA rather than 50-day.

Options Strategies

Put Credit Spreads / CSPs

DESCRIPTION: Collect premium from upward drift + low vol.

DOWNSIDE: Limited profit; tail risk if vol spikes suddenly.

RISK MANAGEMENT: Strikes well below support; close at 50–70% max profit.

Covered Calls

DESCRIPTION: Extra yield on existing holdings.

DOWNSIDE: Caps upside if a sudden rally occurs.

RISK MANAGEMENT: Strikes above technical resistance; roll up/out.

Calendar Spreads

DESCRIPTION: Harvest time-decay differential in a low-IV environment.

DOWNSIDE: Loses edge if vol expands sharply.

RISK MANAGEMENT: Monitor VIX term structure for early vol-regime warnings.

Stocks & Futures

REGIME-WIDE WARNING: Premium is cheap because realized vol is low — that's also the trap. A quiet uptrend can end abruptly, and short-premium positions get hurt disproportionately. Size conservatively.

STOCKS PLAYBOOK:

- Accumulate on shallow dips; tighter stops are viable given low ATR.
- Rotate into steady compounders / low-beta names.

STOCK RISKS: Complacency. Plan explicitly for gap risk on regime transition.

FUTURES PLAYBOOK:

- Long futures, tight stops (low ATR keeps nominal risk small).
- Carry/calendar trades.

FUTURES RISKS: Negative carry in contango markets. Watch vol term structure for early signs of regime shift.

Best of Regime

Put credit spreads sized conservatively (options) · accumulate dips with tight stops (stocks) · carry trades (futures)

5. Crash / Panic Selloff

Sharp, high-velocity decline, VIX spiking, correlations going to 1, capitulation volume.

TECHNICAL INDICATORS & SIGNPOSTS

- **Volatility (VIX):** VIX surging rapidly, often > 30-40, with backwardation in the VIX term structure.
- **Price Action:** Price plunging below 200-day SMA. Bollinger Bands expanding downward violently.
- **Momentum (RSI):** RSI falling into extreme oversold territory (sub-30 or sub-20).
- **Volume:** Massive capitulation spikes; TRIN (Arms Index) reaching extreme panic levels.

Options Strategies

Pre-existing Long Puts / VIX Calls

DESCRIPTION: Hedges established before the crash pay off here.

DOWNSIDE: If entering fresh now, IV is already extremely elevated — expensive entry.

RISK MANAGEMENT: Take profits into the panic on existing hedges rather than paying up for new ones.

Put Ratio Backspreads

DESCRIPTION: Cheap continued-downside exposure with defined risk on the short leg.

DOWNSIDE: Complex structure; can lose if move stalls near short strikes.

RISK MANAGEMENT: Only for experienced traders; define exit before entry.

Strict Rule: Avoid Short Premium

DESCRIPTION: Do not initiate naked puts or credit spreads into a live panic.

DOWNSIDE: Unpredictable IV crush, margin calls, severe gap risk.

Stocks & Futures

STOCKS PLAYBOOK:

- Raise cash, reduce leverage, avoid catching the falling knife.
- If experienced: very small, staggered entries into high-quality names at extreme oversold readings (capitulation volume, RSI extremes).

STOCK RISKS: Crashes routinely overshoot fair value; liquidity gaps mean stops fill worse than expected. Never all-in on a single "bottom" guess.

FUTURES PLAYBOOK:

- Hedge existing longs with short index futures rather than initiating fresh directional bets.
- If trading actively: expect violent two-way whipsaws.

FUTURES RISKS: Massive volatility, margin calls, overnight gap risk, halts. Drastically reduce position size (vol-adjusted).

Best of Regime

Pre-positioned hedges · raise cash / avoid new entries · hedge via index futures, not fresh directional bets

6. Volatile Recovery Rally

Sharp bounce off a crash/selloff low, still-elevated realized and implied vol, unconfirmed trend.

TECHNICAL INDICATORS & SIGNPOSTS

- **Volatility:** VIX declining from panic highs but remaining elevated (20-30 range).
- **Price Action:** Fast V-shaped bounces, reclaiming short-term MAs (10/20 EMA) while still trapped below 200 SMA.
- **Momentum (MACD/RSI):** Bullish divergence on daily or 4H charts leading into the low.
- **Structure:** Higher low may not yet be established; the rally is sharp but technically unconfirmed as a new trend.

Options Strategies

Bull Call Debit Spread

DESCRIPTION: Participate in the bounce with defined risk; spread offsets still-high IV.

DOWNSIDE: Loses if rally fails and reverses (common in bear-market rallies).

RISK MANAGEMENT: Smaller size than a normal bull-trend trade.

Put Credit Spreads

DESCRIPTION: Elevated IV means rich premium; benefits from vol crush + stabilization.

DOWNSIDE: Loss if selloff resumes and breaches short strike.

RISK MANAGEMENT: Strike below the recent panic low, not just recent support.

Avoid Iron Condors

DESCRIPTION: Swings remain large enough to threaten both wings.

RISK MANAGEMENT: Widen wings substantially beyond normal range if you must trade them.

Stocks & Futures

STOCKS PLAYBOOK:

- Selective buying of oversold leaders on confirmation (reclaim of key MA, volume expansion on up days).
- Avoid chasing low-quality/high-beta "junk rallies" unless trading tactically.

STOCK RISKS: Bear-market rallies fail hard and often. Multi-timeframe confirmation before entry, tight stops below recent swing low.

FUTURES PLAYBOOK:

- Tactical long futures with tight stops and quick profit targets.
- Fading exhaustion extremes within the rally (mean-reversion scalping).

FUTURES RISKS: Very high whipsaw risk, false breakouts. Fast stops, avoid overnight holds where feasible.

Best of Regime

Bull call spreads / put credit spreads · confirmed-strength buying only, small size · tactical longs, no overnight hold

Cross-Regime Principle

Position sizing should scale inversely with realized/implied volatility — the same dollar stop distance means very different risk in a Quiet Uptrend vs. a Crash regime. If your GMM/HMM (Gaussian Mixture / Hidden Markov Models) output gives regime probabilities rather than hard labels, size positions proportionally to confidence, and default to the more conservative regime's playbook when probabilities are mixed.